

State have adjusted the rate of surplus-value always upward, except 1975.

In Table XII below the portion of net labor tax paid by productive workers is approximated by using the share of wages of productive workers (variable capital) in the total wage bill and adding the amount obtained to the magnitude of surplus-value giving the adjusted rate of surplus-value for the period of 1952-1980 (Table XIII).

The adjusted rate of surplus-value is quantitative measure of the net impact of the distributive activities of the State on the wages of productive workers. In tracing out this net effect, we come to the modified, effective variable-capital, effective surplus-value and effective rate of surplus-value adjusted for the State. For the time period of 1952-1980 (within the exception of 1975) we found that the adjusted rate of surplus-value was always higher than the nominal rate of surplus-value. For example, the nominal rates of surplus-value were 1.83, 1.95, 2.17, and 2.35 (in 1952, 1960, 1970, and 1980 respectively) while the adjusted rates of surplus-values were 2.14, 2.16, 2.31, and 2.45.

Table XII Total Net-Tax and Net-Tax Paid by
Productive Workers*

Year	(1) Net Tax Paid by Labor	(2) Share of Variable Capital in Total Wage Bill	(3) Net-Tax Paid by Productive Workers (1)x(2)
1952	16.02	0.57	9.13
1953	15.93	0.59	9.40
1954	11.54	0.57	6.58
1955	13.30	0.57	7.58
1956	15.53	0.57	8.85
1957	14.56	0.56	8.15
1958	8.70	0.54	4.70
1959	12.40	0.53	6.57
1960	15.16	0.54	8.19
1961	11.23	0.52	5.84
1962	12.97	0.53	6.87
1963	16.24	0.52	8.44
1964	11.83	0.51	6.03
1965	11.68	0.51	5.96
1966	18.57	0.51	9.47
1967	17.15	0.49	8.40
1968	22.30	0.49	10.93
1969	34.28	0.49	16.80
1970	20.59	0.47	9.68
1971	8.36	0.47	3.93
1972	20.90	0.47	9.82
1973	24.89	0.47	11.70
1974	22.28	0.47	10.47
1975	-15.70	0.46	-7.22
1976	1.00	0.45	0.45
1977	14.67	0.46	6.75
1978	31.00	0.46	14.26
1979	50.06	0.46	23.03
1980	34.95	0.45	15.73

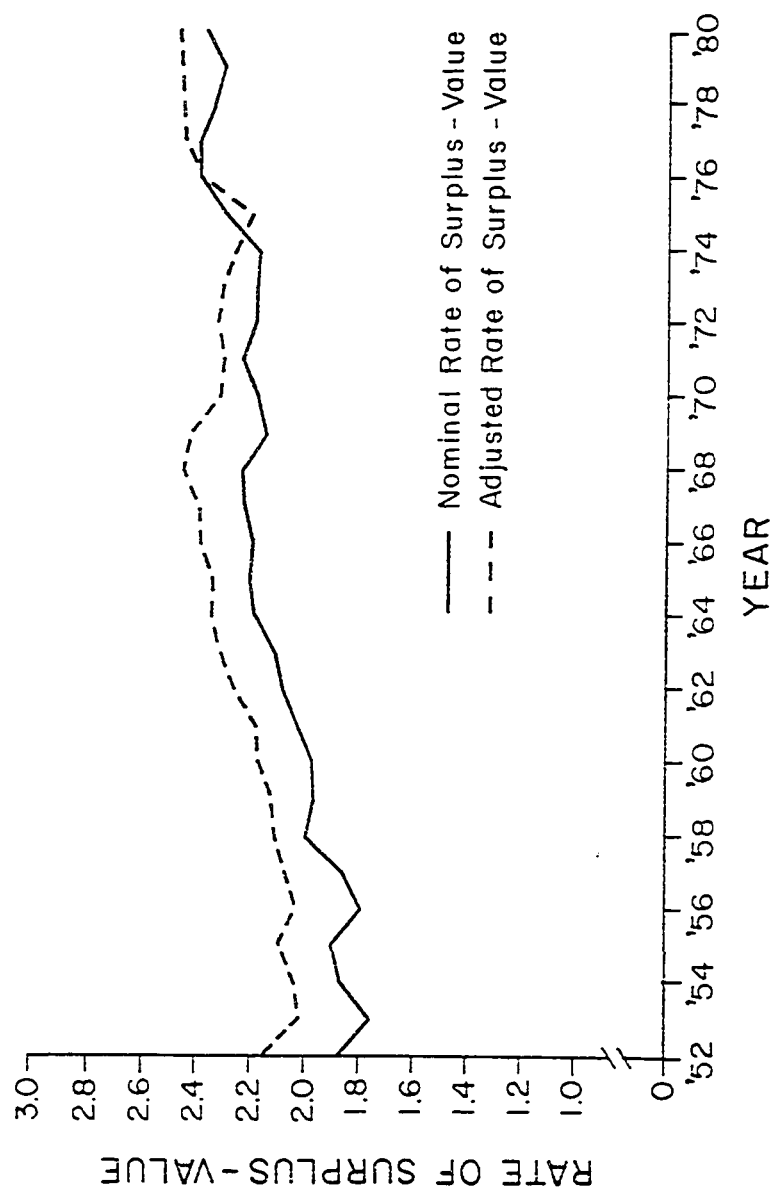
* In billions of dollars

Table XIII Nominal and Adjusted Rates of Surplus Value*

Year	(1) Nominal Variable Capital Value	(2) Nominal Surplus of Value	(3) Nominal Rate of Surplus Value (2)/(3)	(4) Adjusted Variable Capital Value	(5) Adjusted Surplus Value	(6) Adjusted Rate of Surplus Value (4)/(5)
1952	93.70	171.68	1.83	84.57	180.81	2.14
1953	102.22	177.06	1.73	92.82	186.46	2.01
1954	97.25	177.83	1.83	90.67	184.41	2.03
1955	105.20	196.55	1.87	97.62	204.13	2.09
1956	112.41	201.76	1.79	103.56	210.61	2.03
1957	115.33	213.55	1.85	107.18	221.70	2.07
1958	110.26	217.11	1.97	105.56	221.81	2.10
1959	121.69	237.35	1.95	115.12	243.92	2.12
1960	124.84	244.00	1.95	116.65	252.19	2.16
1961	125.63	254.16	2.02	119.79	260.00	2.17
1962	134.03	277.22	2.07	127.16	284.09	2.23
1963	139.84	293.87	2.10	131.40	302.31	2.30
1964	145.76	317.93	2.18	139.73	323.96	2.32
1965	157.76	346.85	2.20	151.80	352.81	2.32
1966	172.66	378.04	2.19	163.19	387.51	2.37
1967	178.47	396.63	2.22	170.07	405.03	2.38
1968	193.25	432.57	2.24	182.32	443.50	2.43
1969	212.76	458.17	2.15	195.96	474.97	2.42
1970	218.38	473.17	2.17	208.70	482.85	2.31
1971	230.86	518.23	2.24	226.93	522.16	2.30
1972	258.47	566.96	2.19	248.65	576.78	2.32
1973	292.31	635.13	2.17	280.61	646.83	2.31
1974	312.15	675.21	2.16	301.68	685.68	2.27
1975	319.55	730.67	2.29	326.77	723.45	2.21
1976	347.25	825.77	2.38	346.80	826.22	2.38
1977	390.29	928.92	2.38	383.54	935.67	2.44
1978	446.49	1042.05	2.33	432.23	1056.31	2.44
1979	501.76	1151.86	2.30	478.73	1174.89	2.45
1980	529.85	1244.97	2.35	514.12	1260.70	2.45

* (1), (2), (4), and (5) are in billions of dollars.

Figure 3. Rate of Surplus - Value, 1952 - '80



D. Footnotes

1. The related question concerns the direct participation of the state in the production process per se. Although this question is in itself interesting and politically informative in terms of relations of various capital units (private and non-private), it does not require a separate treatment for my purposes. The state's activities in production are treated here as part of corresponding branches of the business sector in the National Income and Product Accounts of the United States (hence forth NIPA) framework. From a Marxist point of view, the government enterprises as a main form of active participation in production can be analyzed in the same manner as private capitalist enterprises. On this, Marx says: "...so far as governments employ productive wage-labor in mines, railways, etc..., and function as industrial capitalists." (Marx, 1893, p. 177)
2. It is not implied that these are exclusively the only relevant questions regarding the economic role of the capitalist state. For example, the questions as to what the probable effect of some change in the state policy and/or activity would be crucial.
3. "Custom Duties" had constituted the main source of the Federal Government's revenue until 1913.
4. Cf. Musgrave, 1980, p. 330. In subsequent years the share of income tax in federal revenues fell down to 17% only to rise back to 40% during the financing of World War II. On this increase, Musgrave writes: "During this period, this tax was transformed from a Tax on the rich, paid by a small fraction of high-income recipients, to a mass tax paid by almost all income earners. The number of income tax payers rose from 7 million in 1939 to 50 million in 1945." (Musgrave, 1980, p. 330). I should add that during this same period, the population increased from 130.9 to 139.9 million.
5. There are many provisions which give privileges to income earned from capital as compared to income earned from labor. These include capital gains of which only 40 percent are subject to tax, special provisions for housing, farming etc., interest on life insurance, state and local bonds, investment credits and dividend exclusions. Cf. Sazama, n.d., p. 82-3.

6. For other technical issues and loopholes such as "capital gains", "marital deduction" and "charitable contributions", see (Musgrave, 1980, pp. 498-501).
7. As such, it does not cover all Motor Vehicle License fees since similar fees paid by business tax and non-tax and non-tax accruals at the state and local level.
8. NIPA states this as follows: "Owner-occupied housing as well as buildings and equipment owned and used by non-profit institutions that primarily serve individuals are treated as business entities selling their current service to their owners (BEA, 1981, p. xiii).
9. Tom Weisskopf was kind enough to allow me to utilize his data in my own research. I have benefited from my correspondence with him. The description of his method of estimation of federal income taxes paid by labor is directly taken from his letter of February 13, 1984.

The other study, which also focuses only federal income taxes, is written by Kahn. His estimations cover the period up to 1964 and are also based on IRS tax returns. Comparison between the labor shares calculated by my method and Kahn's are given in the Appendix I. As in the case of comparison with Weisskopf's estimates, in this case as well my figures, with respect to Kahn's, underestimate the labor share in federal income taxes during the post-1956 period.

11. His main data source is IRS annual publication, Statistics of Income, volume on Individual Income Tax Returns.
12. Adolph Wagner, a German main-stream economist who has written extensively on public finance during the last quarter of the nineteenth century, has anticipated increasing government expenditures due to rising political "pressure for social progress" as capitalist societies develop (Musgrave, 1980, p. 142). In later years, especially after the so-called Keynesian Revolution, increasing government expenditures were justified based on the incapability of the capitalist economy to generate sufficient demand and reproduce itself at a growing rate.

13. For different indices, developed to measure that relative importance, see (Musgrave, 1980, pp. 140-141). Those are the ratios of total expenditures of GNP, to National Income and to Personal Income.
14. Cf. Musgrave, 1980, p. 141).
15. Regardless of whether this ratio is a good index in deciding on the existence and size of the welfare state, there are other technical problems. For example, Musgrave points out that while total expenditures include transfer payments, the GNP only includes expenditures for the purchase of goods and services (Cf. Musgrave, 1980, p. 140). Moreover, there is a problem of inflation; since not all prices change at the same rate, this ratio should not be considered as a technically proper index, especially as it applied to government purchases. The inflation adjusted ratio not only destroys the image of precipitously rising public expenditure ratio during the last two decades..." (Musgrave, 1980, p. 147) but also "gives a better measure of the changing public sector claim on the economy's real resources..." (Ibid, p. 149).
16. Although, for the purposes of my discussion, the division of total expenditures between Federal and State and Local governments is not required, I can indicate that in 1929, the bulk of governmental expenditures, comprising more than 75% of the total was undertaken by State and Local governments. Since then the relationship was reversed, and in the 1970's, more than 60% of the total expenditures as accounted for by the Federal Government.
17. Comparatively speaking, with all this tremendous growth in state expenditures, the U.S. is still behind other advanced capitalist societies. For example; "Belgium, the U.K., Canada, France, Italy, and West Germany all devote more than 40% of the gross domestic product to government expenditures. In the Netherlands and Sweden, government expenditures have surpassed 50% of the gross domestic product in those nations:" (Hyman, 1983, pp. 19-20).
18. Hyman also adds that "(a) fifty category is added as a residue for all other federal government expenditures that do not fall into the above four categories" (Hyman, 1983, p. 21).

19. Musgrave's argument itself is reasonable, but his utilization of data in that particular framework is not. He has excluded war-years expenditures on the grounds that "(o)ur choice of years was made such as to avoid wartime peaks..." (Musgrave, 1980, p. 145). Even he attests to the arbitrariness of this choice in a footnote (ibid, p. 145). Furthermore, there is yet another shortcoming created by the definition of defense expenditures: although he has included military aid and all veteran outlays to make the definition more comprehensive the expenditures on disability payments and military retirements were not included.
20. This is known as "Government Expenditures by Function" and corresponds to T. 3.14 in NIPA 1929-76 and in later July issues of Survey of Current Business, T. 3.15.
21. For the whole period under study, 1952-1980, see the table in Appendix II.
22. "Literally 'false costs'; but fraux frais is a technical expression used by the French economists of the early nineteenth century (for example Garnier and Say) to cover expenses not directly incurred in the course of production. The idea of fraux frais de production originated in Adam Smith's distinction between productive and unproductive labour." (Editorial footnote in Marx, 1867, pp. 446-7). Marx's own discussion of Smith's use of the concept of "fraux frais de production" can be found in Theories of Surplus-Value, Part I.
23. Concerning the educational and medical expenses, part of veteran benefits, BEA document states that "... the final function of benefits specifically for veterans is not to provide education or medical care but to thank veterans for their military service or to entice people to join the military, and this is materially different from that of education and health spending." (Lewin, 1979, p. 15: my emphasis-EAT).
24. Using "passenger cars' gas consumption" as a proxy was suggested by Musgrave and others in (Musgrave, Case and Leonard, 1974, p. 261)

Chapter V

The Perspective of Social Wage

In this chapter I shall examine the perspective of the wage. In this particular approach is directly related to the issues regarding the economic role of the state vis-a-vis the working class, about which the theoretical framework and empirical findings of this these have been presented in the preceding chapters. Since the perspective of social wage in general has been discussed above (Chapter II), I shall limit myself here to a critical examination of Ian Gough's The Political Economy of Welfare State and Herbert Gintis and Sam Bowles' "The Crisis of Liberal Democratic Capitalism: The case of the United States."

Gough's Book is about the development of the welfare state in Britain. Since my empirical work has so far included only the U.S., the examination of Gough's position will mainly be on a theoretical level. On the other hand, due to the crucial link between their theoretical claims and empirical presentation of the expansion of citizen wage it is necessary for me to deal with Gintis and Bowles' work mainly on an empirical level. Gintis and Bowles challenge both "the functionalism of Marxist theory of the state" and "the economism of Marxist crisis theory" by offering "an integrated theory of the articulation of the state and the accumulation process" as an alternative. However, their

project and supportive theoretical arguments are based on their empirical observations concerning the expansion of the welfare state in the U.S. This latter phenomenon itself, according to Gintis and Bowles, is reflected in the expansion of state spending on social welfare expenditures which has been found highly questionable in Chapter IV of this thesis.

As John Harrison indicated in his review essay of Gough's book, "The use of 'social wage' is clearly intended to indicate that the receipt of the state benefits included in the notion is in some way equivalent to the receipt of wages" (Harrison, 1980, p. 384). In other words, this is a "flow of welfare benefits in cash and in kind back to the employed and non-employed population" (Gough 1979, p. 108). It needs to be borne in mind that at this level of generalization, the concept of "social wage" includes both transfer payments to workers (social security, unemployment insurance, welfare, etc.) and socialized consumption (health, education, housing and community development, recreation, etc.). Moreover, this is a concept which refers only to the expenditure side of state activities and usually ignores the revenue side, i.e., taxation.

The period of post-war capitalism has seen not only the vast expansion of the role of the state in terms of expenditures, but at the same time, taxes paid by workers have increased dramatically. Therefore,